

FIRST INFORMATION REPORT

(Under Section 173 BNSS)

1. **District:** Delhi **PS:** EO-I Delhi
Year: 2024
FIR No: RC2192024E0005 **Date:** 27/11/2024

2. **Acts & Sections:**

Acts	Sections	R/W Section
IPC	120-B	r/w 406 & 420 of IPC and substantive offences thereof.
IPC	406	Substantive offences
IPC	420	Substantive offences
PC Act-1988	13(2)	r/w 13 (1) (d) of PC Act 1988 and substantive offences thereof.

3. **Suspected offences:**

(a) **Occurrence of offence:**

Day: **Time Period:**
From Date: 2012 **To Date:** 2017

(b) **Information Received at PS:** CBI, EO-I, New Delhi
Date: 02/09/2024

(c) **General Diary Reference:**

Entry No.: 05
Date: 27/11/2024 **Time:** 15:11:15

4. **Type of Information:** Written

5. **Place of Occurrence:** New Delhi, Chennai and other places.

(a) **Direction & distance from PS:**

Beat No.:

(b) **Address:**

Plot No.: **Area:**
City: **Pin:**
State: **District:**

(c) **In case, outside the limit of this Police Station, then**

Name of PS: **District:**

6. **Complainant / Informant:**

Complainant 1

(a) **Name:** Mr. Ankur Periwal

(b) **Father's/Husband's Name:**

(c) **Date/Year of Birth:**

(d) **Nationality:** INDIAN

(e) **Passport:**

Passport No.	Date Of Issue	Place Of Issue
--------------	---------------	----------------

(f) **Occupation:** Manager, M/s PEC Limited, New Delhi

(g) **Address:**

Plot No	Area	City	State	District	Pin
---------	------	------	-------	----------	-----

7. **Details of known/suspected/unknown accused with full particulars:**

Tanwinder
27.11.2024
अशोक कुमार / ASHOK KUMAR
पुलिस अधीक्षक / Supdt. of Police
कें.अ.ब्यूरो, आर्थिक अपराध-1 / CBI, EO-I
5-बी, तीसरी मंजिल / 5-B, 3rd Floor
सी.जी.ओ. कॉम्प्लेक्स / CGO Complex
लोधी रोड, नई दिल्ली / Lodhi Road, New Delhi

Accused 1**Name:** M/s Sabari Exim Pvt. Ltd. (through Director / authorised signatory)(1)**Address:**

Trade Centre, II Floor,, 114 & 115, Wallajah Road, Chennai, Chennai, Chennai, Tamil Nadu, 600002

Accused 2**Name:** Mr.Shashi Kumar Nair Director Sabari Exim Pvt Ltd(2)**Address:**

New No. 3, Avenue Road, Nungambakkam, Chennai, Chennai, Tamil Nadu

Accused 3**Name:** Mr.A. K. Mirchandani Ex. CMD PEC Limited(3)**Address:****Accused 4****Name:** Mr.Rajiv Chaturvedi the then CGM Marketing PEC Limited(4)**Address:****Accused 5****Name:** Mr.P. K. Jain the then CGM Marketing PEC Limited(5)**Address:****Accused 6****Name:** Mr.Y. R. Chugh the then Chief Marketing Manager PEC Limited(6)**Address:****Accused 7****Name:** Mr.S. C. Bhandari the then General Manager Finance PEC Limited(7)**Address:****Accused 8****Name:** Mr.Y. K. Gautam the then JGM Finance PEC Limited(8)**Address:****Accused 9****Name:** Unknown Person(s)**Address:****8. Reasons for delay in reporting by the complainant/informant:**

No delay

9. Particulars of properties stolen:

Item Name	Age of Property	Estimated Value (in INR)
-----------	-----------------	--------------------------

10. Total value of property stolen:**11. Inquest Report/U.D. Case No., if any:****12. First information contents:**

Tanwar
27.11.2024

अशोक कुमार / ASHOK KUMAR
पुलिस अधीक्षक / Supdt. of Police
कैं.अ.ब्यूरो, आर्थिक अपराध-1 / CBI, EO-I
5-बी, तीसरी मंजिल / 5-B, 3rd Floor
सी.जी.ओ. कॉम्प्लेक्स / CGO Complex
लोधी रोड, नई दिल्ली / Lodhi Road, New Delhi

A written Complaint dated 20.08.2024 addressed to the Supdt. of Police, Central Bureau of Investigation, Economic Offences-I, CBI, Headquarters, 5-B, 3rd Floor, Lodhi Road, New Delhi-110003 has been received from Sh. Ankur Periwai, Manager / Authorised Signatory, M/s PEC Limited, New Delhi against accused persons. It is alleged that M/s. Sabari Exim Pvt. Ltd. and it's director in conspiracy with accused PECL officials cheated M/s PEC Limited and caused wrongful loss and also committed criminal breach of trust.

The complaint, which is part of FIR is attached herewith.

Since, the fact and circumstances mentioned in the complaint prima facie disclose the commission of offences U/s 120-B r/w 406, 420 of IPC and Section 13(2) r/w 13(1)(d) of PC Act and substantive offences thereof against M/s Sabari Exim Pvt. Ltd. (through it's director / authorised signatory), its Director Sh. Shashi Kumar Nair and 6 officers of M/s PECL viz. Sh. A.K. Mirchandani, Ex-CMD, Sh. Rajiv Chaturvedi the then CGM (Marketing), Sh. P.K. Jain, the then CGM (Marketing), Sh. Y. R. Chugh, the then Chief Marketing Manager, Sh. S.C. Bhandari, the then General Manager (Finance), and Sh. Y. K. Gautam, the then JGM (Finance), and Unknown Person(s), a regular case is registered against them and entrusted to Sh. Gulshan Mohan Rathi, ASP, CBI, EO-I, New Delhi for investigation.

13. Action taken : Since the above information reveals commission of offence(s) u/s as mentioned at Item No.2:

(1) Registered the case and took up the investigation: Yes

OR

(2) Directed

Name of IO:

Gulshan Mohan Rathi

Rank:

ADDL SUPERINTENDENT OF POLICE (EO-I Delhi)

No:

46243

to take the investigation

OR

(3) Refused investigation due to:

OR

(4) Transferred To PS:

District:

on point of jurisdiction.

Attached documents:

Document name

Complaint dated 20.08.2024

FIR read over to the complainant/informant, admitted to be correctly recorded and a copy given to the complainant / informant, free of cost.

R.O.A.C.

Tanwan
27.11.2024

Signature of Officer
in-charge Police Station

Name: Ashok Kumar

Rank: SUPDT. OF POLICE (EO-I Delhi)

14. Signature/Thumb Impression of
the complainant/informant

15. Date and time of dispatch to the Court:

अशोक कुमार / ASHOK KUMAR
पुलिस अधीक्षक / Supdt. of Police
कें.अ.ब्यूरो, आर्थिक अपराध-1 / CBI, EO-I
5-बी, तीसरी मंजिल / 5-B, 3rd Floor
सी.जी.ओ. कॉम्प्लेक्स / CGO Complex
लोधी रोड, नई दिल्ली / Lodhi Road, New Delhi

20 Aug, 2024

The
Supdt. of Police,
Central Bureau of Investigation,
Economic Offences-1, CBI Headquarters,
5-B, 3rd Floor, Lodhi Road.
New Delhi-110003.

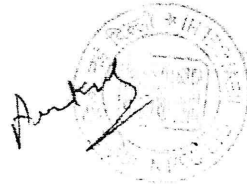
Dear Sir,

SUBJECT –Complaint against M/s. Sabari Exim Pvt Ltd. & Ors

The present complaint is being filed by PEC Limited against the following Offenders:

1. **M/s. Sabari Exim Pvt Ltd.**
Trade Centre, II Floor.
114 & 115, Wallajah Road, Chennai-600002
2. **Mr.Shashi Kumar Nair, Director**
Trade Centre, II Floor.
114 & 115, Wallajah Road
Chennai-600002
ALSO AVAILABLE AT
New No.3, Avenue Road, Nungambakkam.
3. **Mrs.Leena Shashi, Director**
Trade Centre, II Floor.
114 & 115, Wallajah Road
Chennai-600002
ALSO AVAILABLE AT
New No.3, Avenue Road, Nungambakkam,
Chennai-6000034

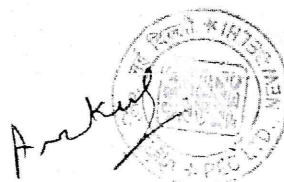
1. The present complaint is being filed on behalf of P.E.C. Limited ("Complainant"), a Government of India Enterprise, duly incorporated under the Companies Act, 1956, having its Registered office at F – Block, 3rd Floor, Flatted Factory Complex, F & G Block, Jhandewalan Jewelry Complex, Rani Jhansi Road, New Delhi 110 055. The Complainant Company is a Government of India Enterprise under the administrative control of the 'Ministry of Commerce and Industry'. The Complainant Company, inter alia, is engaged in the business of facilitating export and import of various commodities and granting financial facilities to importers and exporters in India.



2. The complaint has been signed by Shri. Ankur Periwal, Manager (Marketing), being the authorized Representative in the legal/recovery matters related to M/s. Sabari Exim Pvt Ltd. & Ors.
3. That M/s Sabari Exim Private Ltd., the Offender no. 1, is a borrower of the Complainant and from time to time, the Complainant has extended financial/ LC facilities to the Offender no. 1. The Offender no. 1 had approached the Complainant for availing financial/LC facilities for import of Shredded Steel Scrap (for short "the Cargo"). The Offender no. 1 represented to the Complainant that they had firmed up arrangements with the M/s Schnitzer Steel Industries, Inc, 3200 NW Yeon Avenue, Portland, Oregon 97210 U.S.A (for short "the Supplier"), for the import of 20000 (+/- 10%) MT of Shredded Steel Scrap ISRI 211 of USA Origin ("Material") @ US Dollar 433.00 per M.T. CIF FO – Chennai. The terms of import, quality and quantity of cargo, terms of payment, delivery schedule, etc were settled by the Offender no. 1 with the Foreign Suppliers. The arrangement of import and extension of Letter of Credit facilities was discussed between the parties and it was agreed that the Complainant would import the goods for and on behalf of the Offender no. 1.

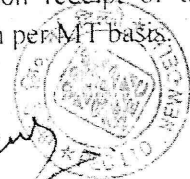
THE BRIEF FACTS LEADING TO THE PRESENT COMPLAINT

4. That on the request of the Offender no. 1, in order to facilitate the import of the Cargo by establishing the Letters of Credit, the Complainant entered into Contract No. S3066-BOS dated 06.06.2012 with the Supplier which was firmed up by the Offender no. 1. The terms of the said contract, including but not limited to the quantity, price of the goods, quality shipment date, were all directly settled between the Offender no. 1 and the Supplier. However, in order to facilitate the import of the Cargo under the said contract, the Complainant was to act as the buyer (on behalf of the Offender no. 1) and Supplier as the seller.
5. That the negotiation and agreement regarding the above said import of the Cargo was reduced in to into an Associate-ship Agreement dated 23.07.2012 (for short "the Agreement") entered between Offender no. 1 and the Complainant.
6. That pursuant to the Agreement, the Complainant established Letter of Credit No. 5073212IM0000224 dated 27.07.2012 for import of 19,780.070 MT of Shredded Steel Scrap in favour of the Supplier for an amount of USD 86, 60,000/-, equivalent to approx. INR Rs.52.68 crore (at Exch. Rate of Rs.61-06). It is submitted that the LC was due for payment on 12.02.2013 in accordance with the Associateship Agreement.
7. That on 17.09.2012 the Complainant entered into High Seas Sale Contract with the Offender no. 1 with regard to the Cargo of 19,780.070 M.T. selling the same to the Offender no. 1, and raised 4 High Seas Sale Invoices all dated 17.09.2012 on the Offender no. 1 for total Rs. 48.61.53.492/-.



8. That the Offender no. 1 on 24.09.2012 executed 4 Deed of Pledge, pledging the total Cargo of 19,780.070 MTs to the Complainant after buying the same as per 4 High Seas Sale Contract all dated 24.09.2012.
9. That the goods were discharged by the offender no.1 and stored at M/s Eskay Enterprises, 88/2A, (T.S No.18) Ernavur highway, Ennore, Chennai-600057. In accordance with the terms of the Deed of Pledge, the Material had to be released to Offender No.1 only on the basis of Delivery orders given by the Complainant which were issued subsequent to making 100% payment for the quantity desired to be lifted.
10. That the Offender No.1 had issued an undertaking along with Associateship Agreement. The Offender No.1, alongwith the undertaking duly signed by offender No.2 issued 10 un-dated cheques. The said cheques issued were bearing no. 718158, 718159, 718160, 718161, 718162, 718163, 718164, 718165, 718166 & 718167 totaling up to an amount of Rs. 49,68,28,530/- (Rupees Forty Nine Crores Sixty Eight Lakhs Twenty Eight Thousand Five Hundred and Thirty), all drawn on State Bank of India, Overseas Branch, Rajaji Salai, Chennai in favour of the Complainant towards partial discharge of liability towards the Complainant. Vide the said undertaking, the Accused undertook to pay the balance outstanding liability failing which they undertook to honour the cheques on presentation and not instruct the bankers to stop the payment or to close the account.
11. Offender No.1 vide letter dated 04.02.2013 informed the Complainant that due to bad economic scenario & heavy fluctuation in the Forex rates, the Offender No.1 could not sell the cargo & further requested the Complainant for roll-over of the L/C amount by 180 days. Accordingly, the L/C was rolled-over for a period of 179 days by increasing the Trading Margin from 1% to 1.5% and the amount of Usance interest & other related bank charges were recovered upfront. The fresh due date after the roll-over for the L/C was 08.08.2013. The LC was rolled over on buyer's credit basis by the Complainant on the request made by the Accused. In the meantime, the delivery of entire material was taken by the Offender No.1.
12. Offender No. 1 informed that due to severe power cut in South India especially in Tamil Nadu, they were unable to sell the material for want of demand. Further, the quality of the material was also deteriorated as the same was lying in the open area near the sea for more than 15 month. During the personal discussions with Complainant in January, 2014 the Offender No. 1 informed Complainant that there was no buyer in the market for this cargo at the DO rate of Rs.28,000/- PMT (as the quality of material had deteriorated due to rusting/oxidization) & requested to release the cargo at a lower rate of Rs.10,000/- PMT & simultaneously accepting the post-dated cheques for the differential amount of Rs.18,000/- PMT duly secured by mortgaging the property worth Rs. 35 crore. to which Complainant had agreed reluctantly.
13. As approved, Complainant was releasing cargo upon receipt of the payment of Rs.10,000/- in cash and prorate Rs.18,000/- as PDC on per MT basis. The total cargo

Amrutha



of 19,780.070 MT was released and total cash payment of approx. Rs.19.78 crores was received.

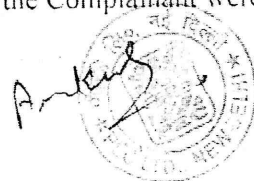
14. On independent valuation of the property mortgaged by Offender No. 1, it was found that the land-use was challenged in a court. The Offender No. 1 did not offer any alternate property which could have been mortgaged to secure Complainant's outstanding dues. The Offender No. 1 did not even dispose off any of the property in order to secure Complainant outstanding dues.

15. Further, the Offender issued a second undertaking dated 24.04.2015 whereby the Accused replaced the previously issued cheques with 10 new cheques bearing no. 161682, 161683, 161684, 161685, 161686, 161687, 161688, 161690, 161691 & 161693 for a total amount of Rs. 46,99,99,800/- (Rupees Forty Six Crores Ninety Nine Lakhs Ninety Nine Thousand and Eight Hundred). Under this second undertaking, Offender agreed to pay the balance/outstanding principal amount towards which the above cheques were handed over failing which they undertook to honour the cheques on presentation and not instruct the bankers to stop the payment or to close the account. It was also undertaken that in case the accused failed to make the outstanding payment, the Complainant had complete authority to encash the cheques and had further liberty to initiate necessary legal action.

16. The Offender further issued a third undertaking dated 21.05.2015 whereby three new cheques bearing no. 169165, 169166 & 169167 for a total amount of Rs. 1,14,36,000/- (Rupees One Crore Fourteen Lakhs and Thirty Six Thousand only) were issued in pursuance to the interest accrued on the outstanding payment. It is pertinent to note that in undertaking, the Offender undertook to sell off the properties situated in Tamil Nadu in order to secure the interests of the Complainant. It was further assured that Offender had given a mandate to M/s BFI Factoring Services Limited, 154, Kutchery Road, 2nd Floor, Mylapore, Chennai-600004, who had sufficient experience and also a Resolution Agent for auctioning the properties owned by the Accused by releasing adequate advertisements in the newspapers and further pay/release the sale proceeds thereof in favour of the Complainant in order to reduce the outstanding liability.

17. Believing all the representation and assurances made by the Offender to be true and bonafide and not reasonably foreseeing the malice intent, the Complainant kept on accepting all requests in the hope that the outstanding payment would be released at the earliest but the Offender has deliberately and emphatically failed to release the payments or make any efforts towards the release.

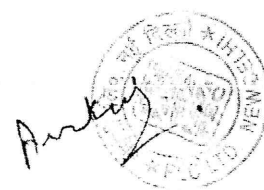
18. When the Offender failed to pay the outstanding amount to the Complainant as assured vide various undertakings and correspondences, the Complainant presented the Cheques issued alongwith the above mentioned undertakings on the basis of the assurances and representations made by the Offender that the Cheques would be honoured on its presentation. It is imperative to state that to the utter shock and dismay of the Complainant, the Cheques deposited by the Complainant were returned



dishonoured with the remarks "ACCOUNT BLOCKED". The details of the cheques are given below:

S.NO.	CHEQUE NO.	CHEQUE DATE	CHEQUE AMOUNT	BANK RETURN MEMO DATE
1.	169165	24.01.2017	Rs. 40,00,000/-	27.01.2017
2.	169166	24.01.2017	Rs. 40,00,000/-	27.01.2017
3.	169167	24.01.2017	Rs. 34,36,000/-	27.01.2017
4.	161682	24.01.2017	Rs. 5,00,00,000/-	27.01.2017
5.	161683	24.01.2017	Rs. 5,00,00,000/-	27.01.2017
6.	161684	24.01.2017	Rs. 5,00,00,000/-	27.01.2017
7.	161685	24.01.2017	Rs. 5,00,00,000/-	27.01.2017
8.	161686	24.01.2017	Rs. 5,00,00,000/-	27.01.2017
9.	161687	24.01.2017	Rs. 5,00,00,000/-	27.01.2017
10.	161688	24.01.2017	Rs. 2,41,04,800/-	27.01.2017
11.	161690	24.01.2017	Rs. 5,00,00,000/-	27.01.2017
12.	161691	24.01.2017	Rs. 5,00,00,000/-	27.01.2017
13.	161693	24.01.2017	Rs. 4,58,95,000/-	27.01.2017

19. Dishonour of the said cheques has resulted in gross disregard of the laws as the same is an offence under Section 138 of the Negotiable Instrument Act, 1881. It is pertinent to state that the Offender have also not taken any initiative towards the release of the outstanding payment of Rs. 48,14,35,800/- (Rupees Forty Eight Crores Fourteen Lakhs Thirty Five Thousand and Eight Hundred) towards the amount of cheques despite knowing the fact that the cheques issued couldn't be encashed on presentation as the Offender resolutely blocked the account.
20. Whereas on 26.08.2015, Complainant was informed by Offender No. 1 that the High court of Madras had freezed their accounts and ordered for compulsory liquidation. A breach of trust was observed form the Offender side, as the orders for compulsory liquidation of Offender No. 1 was passed by the Honourable High Court of Madras on 30.04.2015. It came to the notice of Complainant that the Offender No. 2 have filed for liquidation of their company. The Complainant lodged its claim with the liquidator.
21. Subsequently, Offender No. 2 vide his letter Dated 16.11.2019 requested PEC Limited for Conciliation under PEC Limited Conciliation Rules 2019 towards settlement of dues of PEC. As per his letter, he has already paid an amount of Rs. 3,71,34,500/- and is willing to pay Rs.27,92,10,452/- more to PEC Ltd. in full settlement of the liabilities of Sabari Exim Pvt. Ltd. (in Liquidation) to PEC Ltd. As on date, PEC has received an amount of Rs.6,58,34,500/- from Offender No. 2 .
22. In response to this letter dated 16.11.2019, PEC Limited decided to refer the matter to DISPUTE SETTLEMENT COMMITTEE (DSC). Accordingly, the matter was referred to DSC under the Independent Chairman and Conciliator Shri. D.P.Bagchi (Retd. IAS). In this regard, two DSC meeting were held on 28.01.2020 & 29.09.2020.



23. In this matter, PEC Limited has conducted preliminary Inquiry through the office of Chief Vigilance Officer, PEC Limited and found that 6 employees of PEC Limited have dealt with subject transactions.

List of Employees from PEC Limited, who have dealt with these transactions, as per the Supplementary and Preliminary Inquiry conducted by Vigilance Cell of PEC Limited.

S.No.	Name of the Official(s) & Designation	Competent Authority
1.	Shri A K Mirchandani, Ex-CMD, PEC Ltd.	MOC
2.	Shri Rajiv Chaturvedi Director (Mktg), thereafter, CGM (Marketing), PEC Ltd. now retired. Demoted to GM in the instant case.	Board, PEC
3.	Shri P.K.Jain, CGM, PEC Ltd.	Board, PEC
4.	Shri Y.R.Chugh, Ex-CMM, PEC Ltd.	COM, PEC
5.	Shri S.C.Bhandari, Ex-GM(Fin) .PEC Ltd.	Board, PEC
6.	Shri Y.K.Gautam, Ex-JGM(Fin), PEC Ltd.	Board, PEC

24. The roles and responsibilities of dealing PEC officials as per the Supplementary report dated 18.03.2019 provided by the Vigilance Cell is as follows:

i. Shri A K Mirchandani, Ex – CMD, PEC Ltd.:-

The officer was the then Chairman-cum-Managing Director in PEC Ltd. and he relinquished charge of CMD with effect from 30.06.2014. Being the then CMD of the company and as a member of Committee of Management (CoM), he was responsible for approving the import financing.

Shri Mirchandani, as a member of CoM, approved a financing proposal on 13.09.2012 for import of 20000 MTs Shredded Steel Scrap worth ~ Rs. 53 Cr from M/s Schnitzer Steel industries, Inc. USA for M/s Sabari Exim Pvt. Ltd., Chennai. The brief commercial details of the Approval is as under :

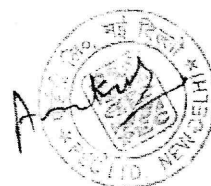
Item & Qty : Shredded Steel Scrap ISRI 211; 20,000 MT (+/-10%)

Unit Price & Value: USD 433/MT; USD 8,660,000 (~ Rs.53 Cr)

PEC Trading Margin : 1% of Import value

Cash Margin Money : 15%(10% at the time of opening L/c & 5% at the time of HSS)

Usance Period : 180 days from B/L date.



At the time of according the approval for Rs.53 Cr, there was already an outstanding amount of ~ Rs.90 Cr from the associate.

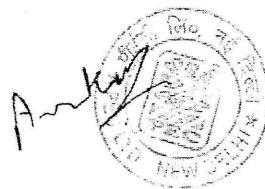
Shri Mirchandani, while approving the proposal, however, did not seek explanation ensuring about repayment schedule of Rs. 90 Cr which was already outstanding from the associate for taking a commercially prudent decision.

Shri Mirchandani, also approved the proposal for roll-over of two LCs i.e. LC 235 and LC 224, for further 180 days on 06.02.2013 when the Associate did not lift the material within 180 days as per the Contract / CoM Approval. The reason for roll-over as reported by the associate was due to severe power cut in Tamil Nadu.

Although the Competent Authority to accord approval of the said roll-over was CoM in view of the fact that the terms & condition of Financing Proposal in question was originally approved by CoM, but the same was approved by Shri Mirchandani which is in excess of his delegated power.

Further, he also simply relied on the statement of Associate of Power Cut in Tamil Nadu to roll-over of L/Cs. with-out corroborating & obtaining any supporting documentary proof with regard to its justification, when the inability of the Associate to repay the financed amount was evident by then.

Based on the request of the associate a proposal was put up to Shri Mirchandani seeking his approval to release the goods at the reduced rate of Rs.10,000/- per MT instead of actual rate of Rs. 28,000/-per MT by accepting PDCs for differential amount of Rs18,000/- per MT by securing the same with mortgageable properties, on the ground of bad economic scenario and power cut in South India especially in Tamil Nadu. It is seen from the note dated 28.01.2014 that Shri Mirchandani, while giving the approval to the above proposal noted "*In such a situation we have no alternate but to agree. Please get the documents of mortgage verified*". It is evident from his aforesaid remarks that he had accorded approval on 28.01.2014 with an instruction that document of mortgage to be verified. It is seen from the Delivery Orders (DOs) issued from 31.03.2014 to 25.03.2015 as indicated in the Surveyor Report that out of total 19780.07 MTs of scrap, 1155 MTs was released at the reduced rate of Rs. 21212.12 per MT and balance 18625.07 MTs @ Rs.

A handwritten signature in black ink is written over a circular official stamp. The stamp contains text in Hindi and English, including 'NEW DELHI' at the bottom.

10,000/- per MT against the actual DO rate of Rs. 28,000/- MT to the associate by Shri Y R Chugh Ex-CMM, without completing the due diligence of verification of property documents offered by the associate and without following the instruction in this regard given by Shri Mirchandani vide his note dated 28.01.2014. Thus the goods were released against PDCs with-out securing the same by getting the encumbrance free mortgageable property documents as collateral security, which appears to be the main cause of financial loss occurred to PEC (Rs. 65.74 crores as on 30.11.2018).

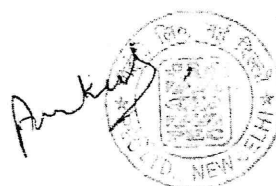
Although the Competent Authority to accord approval of the said acceptance of PDCs, Mortgage Property and delivering the material at reduced price was CoM in view of the fact that the terms & condition of Financing Proposal in question was originally approved by CoM with stipulated terms & conditions, but without approval of CoM, Shri Mirchandani had gone ahead to approve the proposal of releasing the material at reduced price against PDCs & Mortgaged property which is in excess of his delegated power. Further, it is also observed that Shri. Mirchandani approved the proposal of releasing the goods at reduced rate @ Rs. 10,000/MT without any basis.

Since the proposed mortgaged property later found to be of no value to PEC and also dishonoring of PDCs, PEC was put into financial loss to the extent of ~ Rs 65 Cr.

In view of the above observations and lapses, it is evident that Sh. Mirchandani exceeded his power and failed to ensure the due diligence to protect the interest of the company while approving the proposals.

ii. **Shri Rajiv Chaturvedi, CGM (Marketing), PEC Ltd.:-**

The officer was the then Director (Marketing) till 30.10.2012 and Chief General Manager (Marketing) w.e.f. 31.10.2012 in PEC Ltd. Being the then Director (Marketing) of the company and as a member of Committee of Management (CoM), he was responsible for approving the import financing.



Shri Chaturvedi the then Director (Marketing).approved a financing proposal on 13.09.2012 for import of 20000 MTs Shredded Steel Scrap worth Rs. 53 crores from M/s Schnitzer Steel industries, Inc. USA for M/s Sabari Exim Pvt. Ltd., Chennai.

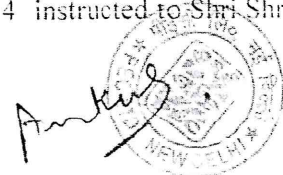
Shri Chaturvedi, however, did not seek explanation about repayment schedule of outstanding amount of Rs. 90 crores with the associate to take a commercially prudent decision.

Shri Chaturvedi, the then Director(M) and now CGM, PEC Ltd., had recommended for approval of proposal for roll-over of two LCs i.e. LC 235 and LC 224, for 180 days on 06.02.2013 on the ground of severe power cut in Tamil Nadu as per the request of associate.

It is found that Shri Chaturvedi recommended roll over of LCs, simply on the basis of statement of associate, with-out corroborating & obtaining any supporting documentary proof, when the inability of the associate to repay the financed amount was evident by then. Further, Shri Chaturvedi did not seek approval of Competent Authority which is CoM in the instant case.

Shri Chaturvedi, on 28.01.2014, had recommended a proposal to release the cargo from actual rate of Rs 28000 PMT to reduced rate of Rs 10000 PMT and balance amount against the PDCs securing the same by mortgage of property by taking into consideration the request of the Associate that they could not sell the material for want of demand due to bad economic scenario & power cut in South India especially in Tamil Nadu.

It is seen from the DOs issued from 31.03.2014 to 25.03.2015 as per surveyor's report that out of total 19780.07 MTs of scrap, 1155 MTs was released at the reduced rate of Rs. 21212.12 per MT and balance 18625.07 MTs @ Rs. 10,000/- per MT against the actual DO rate of Rs. 28000 MT to the associate by Shri Y R Chugh Ex-CMM, without completing the due diligence of verification of property documents offered by the associate and without following the instruction in this regard given by Shri Mirchandani then CMD vide his note dated 28.01.2014. Though, Shri Chaturvedi vide his note dated 16.05.2014 instructed to Shri Y



R Chugh, Ex – CMM, PEC Ltd., to continue his follow-up for obtaining land as collateral at the earliest from the Associate, but this follow up action was taken when majority of goods were released with-out ensuring the compliance of CMD's instruction dated 28.01.2014. Thus, Shri Chaturvedi failed to discharge his supervisory role on subordinates under his control and authority. Further, It is also observed that Shri.Chaturvedi recommended the proposal of releasing the goods at reduced rate @ Rs.10,000/MT without any basis.

Perusal of burglary policy no. 71010046130100000196 dated 18.01.2013 obtained for the insured amount of Rs 80 crores, the same was found lapsed on 18.10.2014, whereas the actual disposal of pledged stock continued upto 25.03.2015.

Shri Chaturvedi, thus failed to ensure that validity of the insurance cover is got extended till the actual disposal of goods.

It is also stated that a Major Penalty Proceedings against Shri Chaturvedi has already been initiated and is at inquiry stage.

It is evident from the above lapses that Shri Chaturvedi was negligent towards his duty and failed in exercising his due supervisory role over his subordinate.

iii. Shri P K Jain, CGM (Marketing), PEC Ltd.:-

The officer worked as Chief General Manager (Marketing) till 15.05.2013 in PEC Ltd. and he was relieved to join MMTC Limited as Director (Marketing). The officer, on exercising lien joined back PEC as CGM (M) w.e.f. 14.05.2018. Shri Jain was thus not involved in the entire transaction. However, his role was limited to recommend the proposal for import financing and roll-over only.

Shri Jain, had recommended a financing proposal on 27.07.2012 for import of 20000 MTs Shredded Steel Scrap worth Rs. 53 crores from M/s Schnitzer Steel industries, Inc. USA for M/s Sabari Exim Pvt. Ltd., Chennai. While recommending the proposal for approval, Shri Jain, instead of providing repayment schedule of Rs. 90 crores already outstanding against the Associate, stated on the proposal note dated 27.07.2012, that:-



"PEC has been dealing with this associate for the last 8-9 years. The present exposure to the associate is Rs. 90 crores (approx.) and performance of the associate has been satisfactory."

Thus, Shri Jain failed to provide specific details of repayment plan & schedules of outstanding amount of ~ Rs.90 Cr against the Associate, at the time of putting up a proposal before CoM to enable them to take a commercially prudent decision.

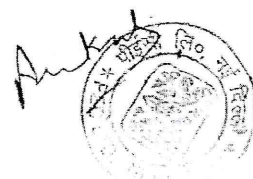
Shri Jain had also recommended a proposal for roll-over of two LCs i.e. LC 235 and LC 224, for 180 days on 06.02.2013 on the ground of severe power cut in Tamil Nadu as per the request of associate.

It is found that Shri P.K.Jain recommended roll-over of LCs, simply on the basis of statement of associate, with-out corroborating & obtaining any supporting documentary proof, when the inability of the associate to repay the financed amount was evident by then. Further, Shri P.K.Jain did not seek approval of Competent Authority- which is CoM in the instant case- for roll-over of LCs.

As per clause 11 of associateship agreement dated 23.07.2012 the movement of goods from port to warehouse was required to be done under transit insurance cover at the cost of associate. However no documents in this regard were found available, which indicates that Shri Jain, failed to ensure that transit insurance cover from port to warehouse was obtained, as per standard insurance policy to safeguard the interests of PEC.

In view of the above, it is seen that Shri Jain did not ensure due diligence in processing the proposals. However, he was not involved in recommending the proposal of releasing the goods at reduced rate of Rs.10,000/MT without verification of property documents submitted by the Associate as a security, which seems to be the main cause of financial loss to the company.

It is pertinent to mention here that based on the PE report, DA (CoM) has already taken a decision to initiate a minor penalty proceeding against Shri Jain. First stage advice of CVC has been sought for initiation of minor penalty proceedings against Shri Jain. The advice of commission is however awaited for want of



confirmation from PEC about the filing of criminal complaint in CBI in the instant case.

iv. **Shri Y R Chugh, Ex – CMM, PEC Ltd.:-**

The officer was the then Chief Marketing Manager and retired as Chief Marketing Manager on 29.05.2015 from PEC Ltd. Being the then Chief Marketing Manager, ShriChugh, was responsible for putting up the proposal for import financing after proper due diligence.

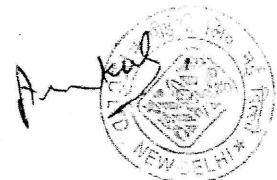
Shri Chugh put up a financing proposal on 27.07.2012 for import of 20000 MTs Shredded Steel Scrap worth Rs. 53 crores from M/s Schnitzer Steel industries, Inc. USA for M/s Sabari Exim Pvt. Ltd., Chennai. While putting up the proposal for approval, Shri Chugh, instead of providing repayment schedule of outstanding amount of Rs. 90 crores against the Associate, stated on the proposal note dated 27.07.2012, that:-

“PEC has been dealing with this associate for the last 8-9 years. The present exposure to the associate is Rs. 90 crores (approx.) and performance of the associate has been satisfactory.”

Thus, Shri Chugh failed to provide specific details of outstanding against the Associate, at the time of putting up a proposal to enable his senior officials to take commercially prudent decision.

Shri Chugh, had also put up a proposal for roll-over of two LCs i.e. LC 235 and LC 224, for 180 days on 06.02.2013 on the ground of severe power cut in Tamil Nadu as per the request of associate. It is found that Shri Chug proposed roll over of LCs, simply on the basis of statement of associate, with-out obtaining any supporting documentary proof, when the inability of the associate to repay the financed amount was evident.

Based on the request of the associate, a proposal was put up by Shri Chugh, to release the goods at the reduced rate of Rs. 10,000/- per MT instead of actual rate of Rs. 28,000/- per MT by accepting PDCs for differential amount of Rs 18,000/- per MT by securing the same with mortgageable properties, on the ground of bad economic scenario and power cut in South India especially in Tamilnadu. It is seen from the DOs issued from 31.03.2014 to 25.03.2015 that out of total 19780.07 MTs of scrap, 1155 MTs was released at the reduced rate of Rs.



21212.12 per MT and balance 18625.07 MTs @ Rs. 10,000/- per MT against the actual DO rate of Rs. 28,000/- MT to the associate by Shri Chugh, without completing the due diligence of verification of property documents offered by the associate and without following the instruction in this regard given by Shri Mirchandani vide his note dated 28.01.2014 and also the instructions issued by Shri Chaturvedi, the then Director (Marketing) on 16.05.2014. It is further seen from e-mail message dated 19.6.2014 of Sh.Chugh that inspite of knowing the fact that the land offered by associate as collateral security is not mortgageable, he kept on releasing the goods against PDCs which had no value. The goods were thus released against PDCs without securing the same by getting the encumbrance free mortgageable property documents as collateral security, which appears to be the main cause of financial loss occurred to PEC. (Rs.65.74 crores as on 30.11.2018). Further, It is also observed that Shri.Chugh proposed releasing the goods at reduced rate @ Rs.10,000/MT without any basis.

As per clause 11 of associateship agreement dated 23.07.2012 the movement of goods from port to warehouse was required to be done under transit insurance cover at the cost of associate. However, no documents in this regard were found available, which indicates that Shri Chugh, failed to obtain transit insurance cover from port to warehouse, as per standard insurance policy to safeguard the interests of PEC.

From the above, it is evident that Shri Chugh, issued all the Delivery Orders (DOs) without first verifying property documents and obtaining the land as collateral in spite of instructions issued by the then CMD and Director (Marketing). In absence of any collateral security PEC was exposed to risk, which ultimately resulted into financial loss of Rs. 65.74 crores as on 30.11.2018. The aforesaid lapses indicate that Shri Chugh committed gross negligence deliberately to cause the undue advantage to the associate and wrongful loss to the Company.

v. **Shri S C Bhandari, Ex – GM(Finance), PEC Ltd.:-**

Shri Bhandari was working as General Manager (Finance) from 31.03.2008 to 31.08.2012 and retired on 31.08.2012 from PEC Ltd. Being the then General Manager (Finance), PEC Ltd., Shri Bhandari, was responsible for giving financial concurrence to the proposals for import financing.




Shri Bhandari concurred a proposal dated 27.07.2012 for import of 20000 MTs Shredded Steel Scrap worth Rs. 53 crores from M/s Schnitzer Steel industries, Inc. USA for M/s Sabari Exim Pvt. Ltd., Chennai. While concurring the proposal Shri Bhandari, did not seek explanation about repayment schedule of outstanding amount of Rs. 90 crores with the associate to take a financially prudent decision.

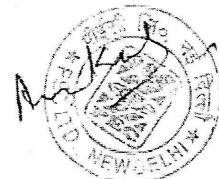
Thus, Shri Bhandari failed to seek specific details of outstanding amount against the Associate, at the time of providing his concurrence for the proposal of import financing. However, it is also fact that he was not involved in concurring the proposal of releasing the goods at reduced rate of Rs.10,000/MT without verification of property documents submitted by the Associate as a security, which seems to be the main cause of financial loss to the company.

vi. **Shri Y K Gautam, Ex – JGM(F), PEC Ltd.:-**

The officer worked as Chief Marketing Manager (F) from 30.06.2011 to 30.06.2015 and JGM (F) 01.07.2015 to 30.06.2016 and retired on 30.06.2016 from PEC Ltd. Being the then Chief Marketing Manager (Finance), PEC Ltd., Shri Gautam, was responsible for recommending for concurrence of proposal for import financing after financial due diligence.

Shri Gautam, recommended for concurrence of a proposal dated 27.07.2012 for import of 20000 MTs Shredded Steel Scrap worth Rs. 53 crores from M/s Schnitzer Steel industries, Inc. USA for M/s Sabari Exim Pvt. Ltd., Chennai. While recommending the proposal for concurrence, Shri Gautam, did not provide repayment schedule of outstanding amount of Rs. 90 crores with the associate to take a financially prudent decision by the competent authority.

Thus, Shri Gautam failed to provide specific details of outstanding amount against the Associate, at the time of recommending the proposal for concurrence. However, it is also fact that he was not involved in concurring the proposal of releasing the goods at reduced rate of Rs.10,000/MT without verification of property documents submitted by the Associate as a security, which seems to be the main cause of financial loss to the company.

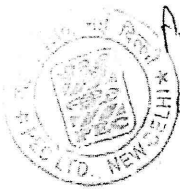


25. The Accused Persons are therefore, guilty of having committed offences of, *inter alia*, cheating, forgery, criminal breach of trust, dishonest misappropriation of property, etc. Thus, the Accused Persons are liable for prosecution for the commission of offences punishable under the relevant provisions of Indian Penal Code, 1860, including, *inter alia*, offences under Section 403, 406, 415, 420, 463, 467, 468, 471 and 120 B of IPC.

26. The Complainant, therefore, humbly requests you to please take cognizance of the matter and diligently and expeditiously investigate the matter and if found guilty, book all the above named accused persons under relevant sections of the Indian Penal Code, 1860.

This is issued with the approval of Competent Authority.

Yours Sincerely,



ANKUR PERIWAL (MANAGER)
(Authorised Signatory)

Endst No. DP 219 2024/ 6730 /RC 219 2024 E 0005

Dated : 27.11.2024

1. District & Sessions Judge/Special Judge, CBI, Rouse Avenue Court, New Delhi.
2. HoZ, EOZ, CBI, New Delhi.
3. The CVO, PEC Limited, F- Block, 3rd Floor, Flatted Factory Complex, F & G Block, Jhandewalan Jewellery Complex, Rani Jhansi Road, New Delhi.
4. Sh. Ankur Periwai, Manager / Authorised Signatory, PEC Limited, F- Block, 3rd Floor, Flatted Factory Complex, F & G Block, Jhandewalan Jewellery Complex, Rani Jhansi Road, New Delhi.
5. Sh. Gulshan Mohan Rathi, ASP, CBI, EO-I, New Delhi.
- ✓ 6. FIR Record file.
7. Office copy.


27.11.2024
(Ashok Kumar)
Supdt. of Police,
CBI, EO-I, New Delhi
अशोक कुमार / ASHOK KUMAR
पुलिस अधीक्षक / Supdt. of Police
कें.अ.ब्यूरो, आर्थिक अपराध-1 / CBI, EO-I
5-बी, तीसरी मंजिल / 5-B, 3rd Floor
सी.जी.ओ. कॉम्प्लेक्स / CGO Complex
लोधी रोड, नई दिल्ली / Lodhi Road, New Delhi